Due to the global financial crisis, fiscals deicit of the GoI has been expanding which added to its overall debt burden. Prolonged fiscal deficits lead to accumulation of debt beyond levels sustainable for an economy and can result in higher real and nominal interest rates, slower growth in capital formation, and potentially lower rate of output growth. The outstanding liabilities of the central government were placed at Rs. 44,68,714 crore, equivalent of **49.8** per cent of GDP at end-March 2012. As a proportion of GDP, outstanding liabilities (adjusted) of the centre peaked at **67.0** per cent in 2002-03 and have fallen subsequently notwithstanding the rise in fiscal deficit in the post-crisis years. This is on account of the fact that growth in incremental assumption of liabilities has been lower than that of nominal GDP and the debt to GDP ratio dynamics is aided by the 'differential between nominal GDP growth and nominal interest rates', which makes it possible to achieve a greater reduction through a given primary balance.

The total liabilities for the GoI include debt and liabilities accounted for in the Consolidated Fund of India *(technically defined as 'public debt')* as well as liabilities accounted for in the public account. Public debt constitutes 76.3 per cent of total liabilities at the end of March 2012. It is further classified into internal and external debt. Internal debt, constituting **90.9** per cent of public debt, largely consists of fixed tenor, fixed coupon dated *securities* (72.1 per cent) and *treasury bills* (10.2 per cent).

Over time, there is a compositional shift toward ***marketable debt***, while the public account liabilities have seen a commensurate decline. The share of marketable debt to total internal liabilities, which was about 30 per cent in the beginning of the 1990s, increased to 40 per cent in the beginning of the 2000s and is budgeted to increase to 67.5 per cent by ***end-March 2013***. The share of public account liabilities on the other hand is estimated to decline to 22.8 per cent in 2012-13 (BE) from about 30 per cent in 2001-02 and about 46 per cent in the beginning of the 1990s.

More dependence on *domestic debt* insulates the debt portfolio from volatility in international capital markets. It also minimizes currency risk. Apart from this, internal debt of the features which provide some comfort are –

(i) Weighted average *maturity* of outstanding government securities at 9.8 years is high compared to international standards.